

Sinhyeong Cho

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EDUCATION

McGill University Desautels Faculty of Management Ph.D. in Finance	09/2021 – present
Korea University Korea University Business School M.S. in Finance	03/2018 – 02/2020
University of Seoul University of Seoul Business School B.B.A	03/2012 – 02/2018

RESEARCH INTERESTS

Empirical Corporate Finance, Corporate Governance, Mergers and Acquisitions, Asset Management, Sustainability

RESEARCH

Job Market Paper

Catering When It Counts: Dividends and Portfolio Reallocation

Abstract: When do firms cater to their shareholders' dividend preferences? This paper shows that they do so when shareholders actively reallocate their portfolios. I identify such periods using large mutual fund flows, which cannot be absorbed by scaling existing positions and are indeed associated with more discretionary trading. Firms exposed to these flows significantly increase dividends. The response is symmetric across inflows and outflows, and announcements follow in the quarter immediately after large flows, consistent with firms timing payout to windows of reallocation. A difference-in-differences design exploiting the introduction of Morningstar Sustainability Ratings supports causality, and cross-sectional evidence points to catering over governance. Funds subsequently favor firms that raise dividends, following both inflow and outflow shocks.

Presented at: CSFN Conference (2026), McGill University (2026)

Working Paper

The Threat of Takeover and Employment: Evidence from International M&A Laws

Abstract: Do managers proactively restructure firm employment when they face with the threat of takeover? Using a matched global sample with the staggered adoption of M&A laws, I find a significant decrease in employment after the implementation of M&A laws. Furthermore, this study finds that these layoffs contribute to an enhancement in firm valuation following the enactment of M&A laws. Cross-sectional analyses show that this effect is particularly pronounced in firms with severe free cash flow problems and in countries with weak shareholder protection. These results are consistent with the idea that the threat of takeover serves as an external governance device, motivating managers to reduce

inefficient employment. Additional findings show that employment protection tend to undermine the effects of the threat of takeover on employment.

Work in Progress

Investor ESG Demand and M&A Matching: Evidence from ESG Fund Flows

Abstract: This paper investigates how exposure to ESG capital flows in financial markets shapes M&A matching. Using a firm-level measure of ESG fund flow exposure, I find that acquirers merge with targets possessing higher ESG flow exposure than themselves. To identify the underlying motive, I test three hypotheses: cost of capital, signaling, and greenwashing. Post-merger results show no significant increases in ESG ownership, external financing, or ESG ratings. These findings provide support for greenwashing, rejecting the cost of capital and signaling views. The effect is particularly pronounced among underperforming managers. This suggests the possibility that they utilize ESG-related M&As as symbolic window-dressing to appease stakeholders and keep their positions.

TEACHING EXPERIENCE

McGill University Lecturer, Applied Corporate Finance	2024
McGill University Teaching Assistant, Mergers and Acquisitions	2022 – 2025
Korea University Teaching Assistant, Financial Institutions Management	2021
Korea University Teaching Assistant, Options and Futures	2021

FELLOWSHIPS AND AWARDS

- Doctoral Fellowship, McGill University, 2021 – 2026
- KUBS Research and Teaching Assistance Scholarships, Korea University, 2018 – 2021
- Undergraduate Research and Teaching Assistance Scholarship, University of Seoul, 2017
- Scholarship for Academic Excellence, University of Seoul 2016 – 2017

ADDITIONAL INFORMATION

Programming: SAS, Stata, Python, R, Latex

Languages: Korean (native), English (fluent), French (beginner)

Citizenship: Korean

REFERENCES

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